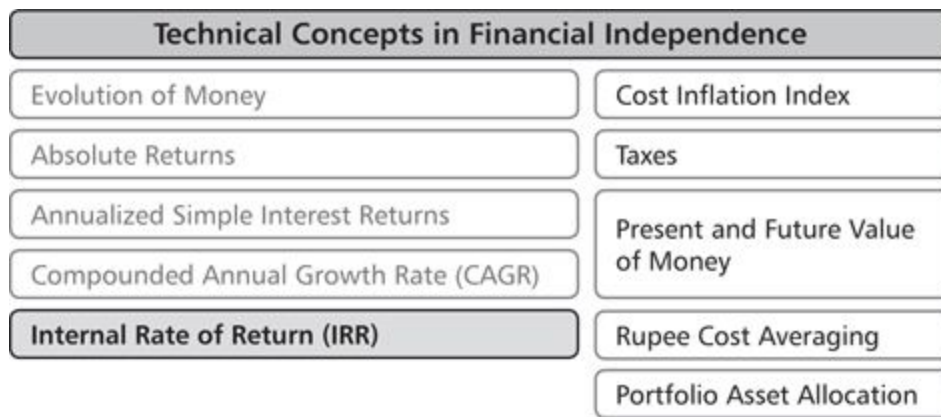


mathematical formula. As complex as it can get, the best way to do return calculations in such complex scenarios is through a method known as the Internal Rate of Return (IRR), as explained in the next section.



Internal Rate of Return (IRR)

The Internal Rate of Return (IRR) is a rate of return used to measure and compare the profitability of investments. It is also called the Discounted Cash Flow Rate of Return (DCFRROR) or simply the Rate of Return (ROR). In the context of savings and loans, the IRR is also called the effective interest rate. The term "internal" refers to the fact that its calculation does not incorporate environmental factors (e.g., the interest rate or inflation) but incorporates the time factor of multiple investments.

Generally, calculation of IRR is very cumbersome and we cannot use many theoretical formulae to calculate this. Most of us make use of Microsoft Excel's standard formula of IRR to calculate it.

Calculating IRR

The ground rules for calculating IRR are as follows:

1. All investments must be captured with a negative sign (indicating outflow of money).
2. All returns must be captured with a positive sign (indicating inflow of money).